Is This The End Of MAGA? â€” ft. Anthony Scaramucci

Podcast: prof G markets

AI Executive Summary

1. Core Thesis

The recent US midterm elections resulted in a historic Democratic victory controlling both the House and Senate, driven largely by public repudiation of the Trump administration and its associated economic policiesâ€”specifically high inflation, surging fuel prices, and tariff aggression. Analysts Anthony Scaramucci and Ed Elson argue this marks the end of the MAGA era and creates a "mixed government" cycle that historically benefits markets through legislative gridlock, despite short-term fears regarding AI/data center bans and potential policy reversals from President Trump.

2. Key Arguments & Data

- **Political Outcome:** Democrats secured significant majorities (55 Senate seats, 250 House seats), ending a decade of Republican control.
- **Economic Drivers of Change:**
  - Diesel prices increased 77% year-over-year.
  - Inflation remains significantly above the Fed's 2% target with zero real wage growth for workers.
  - The "war" and associated spending have driven interest rates up from ~390 basis points to over 530 basis points, impacting savings (401k) and borrowing costs.
- **Trump & MAGA:**
  - Results viewed as a referendum on Trump; he cannot claim immunity due to the lack of support for his administration's policies.
  - Scaramucci identifies Trump as a "reflexive contrarian" (similar to Orban); expecting policy reversal requires transactionalist moves rather than systemic abandonment.
  - GOP candidates like JD Vance and Marco Rubio viewed as too close to MAGA; no clear non-MAGA alternative found yet.
- **Market Reaction:**
  - Despite fears of an "AI bust" due to local data center ballot measure opposition, markets rose sharply on election night (Dow >2%, S&P >1%, NASDAQ >1%).
  - Investor optimism centered on historical "mixed government cycle" data (President vs. Congress) favoring gridlock and stability rather than extreme policy action.
  - AI/Data Centers became a major political trade; 23% of voters cited it as crucial to their vote, with 33 ballot measures restricting data centers.
- **Policy & Corruption:**
  - Democrats may prioritize ethics over direct prosecution of the President due to legal immunity/pardons powers.
  - Historical precedent shows Congress repeals insider trading rights and reinstates them via voice vote if corruption is found palpable.

- Potential for a shake-up at the White House (e.g., Brett Baer/Pistol Pete Hegseth) but sycophants may remain in short term.

3. Actionable Takeaways

- **Investment Strategy:** Monitor mixed-government election cycles as historically bullish periods due to gridlock preventing extreme policy shocks; consider sectors benefiting from tariff reversals (manufacturing/agriculture) if Trump shifts course on trade policies.
- **Political Monitoring:** Watch the AI/Data Center regulatory landscape, as local ballot measures have entered public consciousness and could precipitously change for technologists and investors over the next two years.
- **Risk Assessment:** Acknowledge the 2028 GOP primary field is reshaping; no front-runner exists among JD Vance or Marco Rubio following this election loss.
- **Policy Watch:** Anticipate potential corruption investigations focusing on ethics rather than direct presidential immunity, and monitor for any Trump "transactionalist" pivots to regain favor without losing the "Great Again" narrative.

Full Transcript

As soon as autumn rolls around and you swap your iced lattes for pumpkin spice, that's your signal to start thinking about the holidays. The decor, the gifts, the shopping lists, but more importantly, the holiday treats. Cheesecakes, cookies, is there anything better? And when the recipe calls for cream cheese, there's only one option. Philadelphia, the original cream cheese. made with fresh milk and real cream. This holiday season, whether you're going all out or keeping it simple, make it really, really good. Find your favorite holiday recipe at creamcheese.com. Staying ahead of the markets means keeping up with a constant stream of data, trends, and news. But finding the insights that actually matter to your portfolio isn't always easy. That's where Alpha Space by Yahoo Finance comes in.

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Welcome to Proficy Markets. Democrats had a historic night at the polls in what many are calling a blue tsunami. The party won control of both the House and the Senate, marking a major shift in the balance of power in Washington. The results are widely seen as a referendum on the Trump administration and the economy obviously played a major role. Diesel

prices are up 77% year over year. Inflation remains well above the Fed's 2% target and workers are still seeing no real wage growth. Taken together, those pressures have clearly fueled a desire for change. What exactly drove the results? And what do they tell us about the state of the country with Democrats now in control of Congress? What can they realistically accomplish? And what might this agenda mean for the economy and for markets? Pay to help us make sense of all of it. We are joined by one of our absolute favorite guests.

This is our conversation with Anthony Scaramucci, founder and managing partner of Skybridge Capital. Anthony, great to see you. I saw you very recently. We just did an excellent show on your podcast, The Rest is Politics U.S., which I encourage everyone to go check out. But this was historic on multiple different dimensions, Iowa, Kansas, South Carolina, Texas. Let's just start with your reactions to what happened. Well, first of all, you were terrific this morning, and I appreciate you being with me. I'm gonna say something meta, and then say something micro. I think the meta thing is total repudiation of Donald Trump. That word's been overused today. But I would say the micro thing is if you go candidate by candidate, particularly the senatorial candidates for the Democrats, they were decent. They were reasonable.

They were in the consensus. Didn't see a lot of Democratic socialists in that mix. And that's why they were able to break some norms. Talarico, the winning Kansas. I mean, it came close there in Mississippi. You and I were laughing about it this morning. I mean, so I just wanted to think of the magnitude of this. And guys, just for one second, you've got 55 Senate seats and you've got... 250 House of Representatives seats for the Democrats. I mean, that is staggering and what has typically been a 50-50 country since the year 2000. And Ron DeSantis said it better than me, so I'm gonna say it to you. Take a look at the calendar, take a look at the states that are up in 2028, 2030, and 2032, and look at the magnitude of that victory. And it seems impossible over the next six years that the Democrats will lose the House and the Senate. Now listen, crazy things happen. If they get a Trump-like figure in the Democratic Party, they'll be a resounding trouncing, of course. But they really did seismic meteoric damage to the

Republican Party. We can talk about the aftermath of it, but it was a combination of, the electorate said enough of Trump.

And then the other piece of this thing, which I think you know, Ed, is that if you bring the moderates to the game, or as your colleague Scott Galloway says, raging moderates, they're going to win elections in the United States right now. We'll get to the Democratic strategy going forward. But let's just linger on what the Republicans are supposed to do now, because this was a condemnation of Trump. He can say it didn't have to do with me, but it did. We know that from all of the polling. We know that from the approval ratings. This was a referendum on him. And so the question for Republicans at this point is, what is the identity of the party? This guy has defined the past more than a decade of Republican politics, and I look at what's happened here. It seems to me like this is the end. It seems to me like this is people recognizing, okay, we've had our fun.

But this is the end of MAGA, would you agree? I agree, but then I want you to point to me to a leader that wasn't MAGA. Tell me one leader that you and I could point to, household name, somebody that people could recognize, national figure or projectors. mini-local figure wasn't MAGA. They all went into the bucket for MAGA. Now, if you want to bring Chris Christie back, you want to bring Lynn Cheney back, you want to bring Paul Ryan back, okay, that's differentiating, but who are you going to bring? They're all MAGA, MAGA adjacent, MAGA light. Now, they'll distance themselves, they'll burn their red hats, and they'll try to get themselves photoshopped out of the thumbs up picture with Donald Trump.

but to point to the person that you could go to and say, okay, MAGA is done, Trump blew it, but you're now the person he or she representing the non-MAGA side of the party. Well, I wonder if it would be someone like a Chris Christie. Of course, these people aren't in power, but that to me was what we learned from this election is the only MAGA people who are in power now are the people who it was essentially layups. And so it seems to me that there's going to have to be some sort of reckoning. And so I wonder if, and I'd be curious to know if you think that this is what will happen. You will see a swing back to a Chris Christie, Paul Ryan type in the Republican Party, or maybe a candidate that we've never even heard of. Someone just

comes out of nowhere. I mean, is that the direction or do you think that they will stick with the MAGA guns?

Well, listen, I think it's going to be very hard for guys like Rubio and JD Vance. They are dipped in ruby red Donald Trump. I don't know how they get out of it. David McCormick, I think he's adjacent. He'll try to say that he is and he'll try to use his veteran status. I think he's somebody that could run for president. He's a good guy. I like David McCormick. But I'm just saying he is MAGA. He can't pretend otherwise. He carried favor to Donald Trump to win the election in 2024. And some of Trump's coattails in Pennsylvania helped him. Glenn Yonkin, I would say he's probably the least MAGA of the Magas, but he was still pretty MAGA when he was governor of Virginia. He's a talented guy. But then again, you know this and I know this. You need the Riz.

Ed Elson, you need a little bit of the Riz. Any of those guys have the Riz? Chris Christie's got the Riz. Chris Christie's got the Riz. But he's been out of politics for a while, you know? I would like to, if you don't mind, it's a mini soliloquy, but I want to do this for your viewers because it's gotten traction and I want people to think about it, okay? Why did Trump and the Republicans get trounced? Okay, you ready? And I did this this morning, you heard me do it. It's the great gas prices. It's the war that wasn't authorized. It's the corruption, the full-on billions of dollars stolen by Trump and his cronies. It's the incompetence. What about the tariffs? Of course, they were illegal. Even the ones he's put on right now are likely illegal. Playing nice with Putin and Russia. The impression of cruelty. You're an American citizen.

We don't like the cruelty. Americans see themselves as decent people. Even if other people around the world don't see us that way, we don't like the cruelty. We think it makes us look bad in its bad form. Overly aggressive deportations. The accidental arrest of American citizens who were Hispanic. The arrogance, how about Pistol Pete Hegseth and his level of arrogance? The ballroom, the reflecting pool that doesn't reflect. The golf courses where he's cutting down trees, where the judges tell him, don't cut the trees down. The Qatari 747, the aggressive redistricting push. And what about the threats against our allies, treating them like they're adversaries? I mean,

come on. You know, it's an overwhelming list, and each person had a different reason, and maybe some of the people had all of those reasons to vote these guys out of office. But you're taking the state of Texas back to 1988. You're taking the state of Kansas back to 1932. I pointed out to people, the last senator for the state of Kansas was born in 1879, Ed Elson.

So, I mean, this is a full-on blowout. This is a full-on steam rolling. And, you know, obviously, I couldn't be happier about it. I mean, you know, I know you're an objective guy. You got a great British accent, but I'm not an objective guy. I want these people smoked out of their houses, and I want them fleeing the village. I think that is an objective perspective. I think we've seen it reflected in the results this week. I guess... In terms of what happens next, and this is sort of the real question, especially for investors and Americans who have been significantly impacted by a lot of these decisions. So there's the corruption and what I perceive to be most likely genuine criminal activity. And we'll get to that and what the Democrats may or may not do about that. But in terms of the economy, you've got...

rampant inflation, you've got higher oil prices, which has resulted in higher diesel prices, resulting in higher fertilizer prices, higher grocery prices. It's killed farmers. We've seen the tariffs affecting manufacturing. We've seen actually a decline in manufacturing jobs. I mean, the economy has been roiled by the economic policies of Trump. And to me, this is America saying, hey, we didn't like that. We're voting you out. No more of that. I wonder. if he will actually reverse course on anything. And that right there is a very important question for investors because if he does, if he does say, okay, no more tariffs, we're going to get out of Iran. Those are decisions that carry trillions and trillions of dollars of market value that are going to really steer the trajectory of the American economy and American markets over the next several years. But it's going to come down to him.

And so my question for you, will he reverse course? Will he say, OK, my bad, let's go in a new direction or will he double down? So, I mean, this is an amazing question because he is a, what A. J. R. McMaster called him, he's a reflexive contrarian. Everybody thought he was going to go crazy and bombastic and reject the election. Well, it turns out he's not Vladimir Putin. He's more like Victor Orban. You know, the election was overwhelming. He

can't pick up the phone anywhere and say, hey, We're short 2,000 votes. He's like, he got to wake up the phone and say, hey, help me find 20 million votes. I mean, he got his full ass kicked. So to me, people said, oh, he's going to go crazy and get super aggressive. And you and I saw last night that he didn't do that. We also saw today that he didn't do that. But that is such an interesting strategy. If he pulls the plug on those things, their popularity will equalize. Okay, just remember before the election, the Democrats are polling in the 20s, 25%, 30%. The Democrats are polling like the IRS polls or like the cable company that won't answer your phone call when you're trying to get your cable service back up. And so to me, a couple of things like that would be absolutely political genius on his part. And the thing I know about him better than anything, he's a transactionalist.

I hate Jeff Bezos. I'm going to break up his company. Okay, sir, you just won the election. Jeff Bezos is coming in with a million dollars for the inaugural and 40 million dollars for Melania. Okay, I love Jeff Bezos. Sit him behind my family at the inauguration. I hate Mark Zuckerberg. He banned me from Facebook and Instagram, and he gave me a huge hassle, and he censored me. Okay, well, here he comes with the money. Let's change. So it is very plausible that he could do that. You know, Brian Lanza, you and I interviewed him this morning. He said, well, what if Trump just goes in the other direction on tariffs? You know. And I know because you're a great reporter that the Republicans are pushing him every which way on the tariffs. You know that Susan Collins, one of the big reasons she lost up in Maine, wear the tariffs because she's in a border state and she's been woefully economically impacted by it. Mike Rogers knows that a big part of that loss in Michigan is related to the tariffs. So just imagine if he goes in a reverse course and you can't There's no way we could look around and say, no, Trump is not capable of that. Everybody, he was blasting Mondani, communists, socialists, this, that and the other thing. He'd lovey-dovey with Mondani at City Hall, at Gracie Mansion, and in the Oval Office. So that's part of the calculus. You got to definitely look at that ed. Could it happen ASAP? I doubt it.

A broad rollback of the tariffs would likely be unlikely. He's also still pressing them. You know, Carney said two days ago there has been some progress after the U.S. has dropped some of their demands, okay? And so

you could see a deal now. with Canada. But let me tell you something about Mark Carney. He's also got to be very careful. He is so popular, Ed, for sticking to his guns in Canada. If he cuts that deal, there better never be any perception in that deal that he made major concessions of Donald Trump. It'll hurt his political standing. The best thing that's happened to Mark Carney's political career was Donald Trump. You know the Conservatives were about to win in Canada. Trump comes along acting like a jackass. Carney wins the election handily. And Carney knows how to play this guy. And he's got a 70 plus percent approval rating in Canada. So to me, Trump could make those moves. It wouldn't surprise me. The flip side is, I said this this morning, I'll say it on your show. He had 800 million in his war chest. He spent 10 million of it.

What is he waiting for? Maybe the setup is in 2028 by Vance, by Rubio, and here's 300 million on one of my adult children. We'll be right back after the break, and if you're enjoying the show, send it to a friend, and please follow us on YouTube, Spotify, or wherever you get your podcasts. Support for the show comes from Anthropic. Running a small business is hard, and it helps to have a partner that can help solve the problems that inevitably crop up throughout the week. Claude is the AI for problem solvers. It's the collaborator that understands your entire workflow and thinks with you, not for you. Whether you're debugging code at midnight, building a financial model, or strategizing your next business move, Claude extends your thinking to tackle the problems that matter. You can set Claude up to give you a Monday brief, laying out your cash position, weekend sales, the week ahead, and the urgent thing that needs your eyes. It will be waiting in slack for you every Monday.

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We're back with ProfG Markets. I will grant you that many of us were surprised that he wasn't simply denying the results of the election, but I think the other thing that was unique about this one is that it wasn't about him. And that was part of his statement. That was what he felt actual seemingly pride about. He said, well, this wasn't about me. This is about the other candidates. And then when asked, I think someone asked him, I want to say it was Josh Burns, asked him about Iran, he said, no, that was still the right decision. I still stand by that. I'm making the right move. And so it seems to me that he's almost deluding himself into saying, No, this because it's the midterms, it's not about me. It's because these candidates are crappy candidates. And if I had been on the ballot, then everyone would say I'm

doing a great job. And I wonder if that's what he's going to demand from his cabinet as well, that anyone who goes out and says, hey, we should probably take the seriously, we should probably switch things up. He'll say, no, you don't get it.

It's because those candidates were bad candidates. They didn't have the risk. And I think about one of his core tenants, which is never admit defeat. I mean, this is what he's all about. He never ever admits defeat. And so to me, I mean, I'd be curious to hear your reactions to that because I still see a world in which he says, no, I'm still great. I made all of the right decisions. It would be too painful, too embarrassing and feel too pathetic to say that his two signature policy decisions, Iran tariffs, to say that was a bad idea. Well, I mean, he did that last night. We both saw that and we were both laughing about it and he was getting scolded by Brett Baer about the polls. But Trump did say something that the results would have been different if his name was on the ballot. And I actually do agree with him. The margin of the losses would have been way bigger. And that's the irony of the whole thing.

Okay. And he sort of knows that. Okay. He's also got a vice president that's trying to reposition himself now. And Vance is saying, well, this happened because of the war. And Vance did something very clever. He got John Jr. to say the same thing, right? They both came out today and said it was the war that turned people off and dissuaded people from MAGA. And I want to go to the Santas for a second because he did say that we have close to an extinction level event. You know, again, six years, very unlikely to lose power. But you know, listen, you know, to me, it's what do the Democrats do with this victory? What do they do with it? Because if they run it up the middle and they put more moderates in place and they try to build a coalition with some level of compromise, to common sense pragmatists in the Republican Party look out, they could really control the card table. If they decide that no, no, no, there was one conservative pundit that kept playing the replay on a liberal cable news channel of a woman saying, hey, everybody, woke is back, woke is back. I don't know.

You think woke is back? I mean, you know, Fox News is going to play that tune all day tonight and tomorrow. But the truth of the matter is, if woke is

back, that's going to be very bad for the Democrats. And this is going to be a very short-lived victory. And I would suggest to my Democratic friends, even if you like woke, go see your sister AOC and ask AOC what she thinks about the culture war right now, because she took her pronoun usage and her designation Off her Twitter feed, she's telling people that woke one was crazy. And she's trying to indicate to you guys, hey man, I don't want to fight that. I want to deliver on affordability. I want to deliver on getting us out of this war. And Ed, you're a markets guy. So I just want to say this to people.

The war is a half a trillion dollar venture because it's 50 billion dollars in climbing to leave the Navy where it is, the Marine expeditionary forces, all of that stuff. It is 150, possibly 200. It's 2,400 a family in the increase in energy costs in the country, which isn't just gasoline and diesel. It's also fuel and jet fuel. You saw the prices coming over the pond, how expensive it's become. The other thing that's happened is we raised interest rates. On your show, because I listened to your show, we were talking, or you were talking with your guests about lowering interest rates in calendar year 2026. So last November, you, me, others were saying, okay, the consensus is two, possibly three rate cuts this coming year.

He declares war, the 10 years at 396 going into the war. It's over 490 now. It peaked in the 530s. So, I mean, look at what he did. And those costs, so it's not just the 50 bill here, the 200 bill for the energy, but now you have increased borrowing costs all over the society. And as a result of interest rate rises, you have certain stocks that are down. So you've killed people in their 401k and in their savings and you didn't get the outcome. There's no outcome here other than this will probably go on forever. Well, this has been one of the more interesting things coming out of the election is because when we were analyzing the results in real time and we're looking at the after hours trading and then the pre-trading, it seemed as though Wall Street was going to be very worried about this. And one of the big themes coming out of this election was The the data center theme this idea that we had all of these local data center ballot measures and on I'm pretty sure all counts but one Local community said no we don't want a data center in our town And that's it and in addition you had a lot of this this blue blue Nami this blue wave where there was a lot of these Democrats who were more

amenable to a data center moratorium or to a data center pause. And it seemed like you were going to see like havoc in the markets and people saying, oh my gosh, AI is over. But that's not what happened actually, because suddenly markets open, Dow.

immediately jumps more than 2%, best day since April. The S&P jumps more than 1%, NASDAQ jumps more than 1% as well. A few very specific AI names get hurt, namely the Neocloud names, those companies that are fully leveraged to the data center trade. But overall, investors were pretty happy here. And so, from your seat, what are investors feeling constructive about? Because I see it. I see why this can be a good thing. But I wasn't necessarily expecting it from Wall Street. I was expecting more of a cynical perspective. What do you think they're optimistic about? Well, I mean, listen, for 30 years, I mean, Yael Hirsch and now a son Jay Hirsch are the authors of the stock trader Almanac. Have you ever seen it? No, I haven't.

Okay, I'm going to send you a copy for Christmas because I get them delivered to me and I like giving them out to my friends. And in the Almanac, it talks about the seasonality, like the farmer's Almanac, it talks about the seasonality of stocks, and it talks about different issues that happen in stocks. But it also talks about four-year presidential election cycles. They go all the way back to 1896. And it turns out that when you have a mixed cycle, when you have the Congress turn, to the Democrats and the Republicans still keep the presidency, people actually get bullish. And the main reason they get bullish is it's almost complete gridlock in Washington and nothing gets done. And this happened during the Clinton era. They eventually shut down the government, but then they reached a compromise. And some of that compromise was a reform base that led to some budgetary surplus in the year 2000, as I write about in the book, All the Wrong Moves.

And let me tell you something, Ed, that mixed government helped the country. So if you go back to 1896, anytime you get in a situation like this, it's been better for the stock and bond market. Yeah. Just here's a quote from Deutsche Bank's head of FX Research, quote, the combination of a large democratic majority in Congress and President Trump's statement that he is willing to work with the opposition should act as a break on extreme policy

outcomes and bring down risk premier. And it does seem like, you know, one of the big stories in the second half of the year in markets has been what we've seen on bond yields and on treasuries. There's just explosion in yields. I think there's one missing piece to this because again, this is a market commentary show in addition to politics, but I think the missing piece is the data centerpiece. And so the data centers are very unpopular. Sherry Brown, when after Houston or Houston on that on the data center issue as did others and I think the AI boom was supposed to be the GOP's economic story But it ended up on the ballot as somebody's utility bill I think it's important for people to understand that that they fell holy shit the data center is Here in my neighborhood. It's not environmental. It's drawing too much power and because of the demand supply mix for power, my prices are going way up, and people weren't happy about that. How much of a theme will that be going forward? Because I think a lot of people were kind of surprised by how much of a role it played. Just looking at the exit polls, 23% of voters said that AI and data centers were crucial to their vote. And then just to put a number on what I was saying before, there were 33 ballot measures that would restrict data centers.

or that did restrict data centers, only one pro data center measure one across the country. And so it does seem as though AI and data centers started out as more of a tech story, then it quickly became a very important market story. It became this incredible trade. People trading literally trillions of dollars on this thing. Now it's entered the public consciousness. Now it's in the realm of politics. and that might change things quite precipitously for both the technologists and for the investors. Is this here to stay? Is this sort of a permanent feature of American politics? I think so. And let me tell you, the exit polling, it was high enough on the list and it's fairly universal. Younger people don't like it. I think it got beaten almost everywhere.

Anywhere where there was a regulating message and we got to figure this out message, that candidate generally did well. Just go to Ohio for a second, okay? The voters rejected the AI build out almost everywhere it was on the ballot. There were 14 municipalities that passed bans and or restrictions. on data centers in the state of Ohio. Now, I could argue, man, that could be economically stupid, but this reminds me of the WTO issue. You and I talked about this. We let China into the World Trade Organization, and the

working class family says, don't do that, it's gonna really hurt us, and Wall Street's poo-pooing them. There's symmetry here. You know, the working-class family is saying, don't do this. It's going to kill our jobs. And whoever's our white collar family member that's administrative or in an early stage consultancy is going to get knocked out of the job. Don't do this. That's the message in the polling. We'll be right back. And for even more markets content, sign up for our newsletter at profgmarkets.com. You work hard for every dollar. So put those dollars to work for you with SoFi.

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Get a free quote in minutes at fetchpet.com slash save. That's fetchpet.com slash save. We're back with Prodigy Markets. It does seem that there is a fear that specifically on AI and specifically on data centers, a fear from Wall

Street specifically, not from the rest of America, that we will see extreme crackdowns on AI, like an extreme abolitionist movement. From what I sense, based on some of these candidates who have, in my view, just done a good job of politically navigating the AI data center thing, which is a new thing. They didn't know what the scripts were. They figured out how to navigate this thing. It seems to me that I would bet That it's gonna be a lot more moderate and a lot more reasonable than people think it'll make a lot of headlines They're abolishing data centers throughout America, but instead I would imagine that maybe what we'll see instead is I want to put a pause here until we have a regulatory framework in place and then We're gonna we're gonna let it go through which actually would be good policy And I think the Americans would be relieved by that and it would actually probably turn out more positively just in terms of Democratic strategy going forward. One of the big questions is what they're going to focus on over the next two years. And I think there is a question as to whether they will and also whether they should prosecute and go after what seems to be unprecedented corruption by the Trump administration. Do you think that that will happen and do you think they should?

I don't think going after the president is going to help them. That's just my honest opinion, because I think the president has got immunity, he's got pardoning power, he's got all that other stuff. I think they would be better served, and this would be really contrarian, is to say, you know, we're not going to go after the president, but you know what we're going to go after is ethics. And we're going to have an omnibus evaluation of the ethics in Washington, because you know this, there's a lot of what aboutism. Maybe Trump's taking 500 billion, but Nancy Pelosi trades, other members of the Congress trade. You see what I mean? Yeah. And so maybe the approach is, hey, we're not going to go after Trump specifically because it's going to be tip for tap, but we're going to go after everybody, including some of the misnomers that we ourselves have perpetrated. I think that message would really help them and that would in general, a lot of popularity. Do you feel more optimistic about that? Because this is something that I know that you have been very pessimistic and very cynical about for a long time, which is that the corruption is rife on both sides. I remember an example that maybe you'd have to remind me of, of when this was actually supposed to be litigated out in Congress.

And then they switched to phones or something to try to make sure that there's no doubt. Yeah. I'll tell the story again. I think it's important for everybody to hear this. So Peter Switzer wrote a book about the insider trading way back in 2011 and 12. And it got to be a 60 minute special. And again, this is sort of the early stages of the smartphone. We're not with this massive proliferation of news coming through the Instagram feed. And the Congress was very sensitized to the notion that they were doing loads of insider trading, and they were showing the bills, and they were showing, okay, you can go, the bill's gonna get passed tomorrow, let me get along this, pursuant to what's going on in the commodity, et cetera. And this was very corrosive, it was very damaging. And so the outcry was very palpable. And so they passed a law, and you can look this up on AI, they passed a law that denied them all the right to do the trading. They let three months go by.

And they didn't go on C-span. They didn't do a camera shot. They did a voice vote by telephone to reinstate their ability to trade with inside information based on what goes on in the Congress. And, you know, that's Washington. That's the cynical nature of Washington. That's exactly how these guys operate. That's exactly how they think. And they're laughing themselves to the back. You know that. Is this going to be a different moment? Because when I heard, when you told me that story for the first time, I was like, oh, this is just, it's just rotten from the top down, always has been. Nothing will really change. I wonder, though, if this was so brazen, so bad, that maybe now things will change. There's degrees of acceptable wantonness. Now, from me.

You'd be fired immediately if you did it in my office, but I'm talking about generally people know that they get some pretty low life figures to run for high office. So you're matching a low life with a high office and you're going to get problems. Just looking at the White House itself right now over the next couple of years, it sounds like you believe that there is real opportunity or a real possibility that Trump might reverse course on a few of these issues. Not impossible. It would be naive to think that he's just gonna stay the course and bludgeon, bludgeon, bludgeon. You can't see what he did with Mondani or others and suggest that. I'm not saying that he's not gonna potentially go rogue. I'm saying there could be fragments of

this as what you and I witnessed this morning during what seemed like a rambling conference call.

that had a concession speech laced into it. He did seem like unusually reflective or at least almost somber in a way that feels rare that he's at least questioning something in the back of his... Well, I think he's burnt out. I mean, look at that last speech. I think he's very tired. He's gone through the mill and he's burnt out. Will we see some sort of shake up at the White House? Do you think anyone's going to be leaving? Will he be bringing in any new blood? What's going to happen inside of that? I'm probably the wrong guy to ask because I'm not in touch with that right at this moment. But I definitely think Hexeth is gone. And if you look at the poly markets, he's going way up in the poly markets. Could Susie Wilds be gone? It's possible. He's really pissed at her. But, you know, who else? I don't know. He likes the sycophants. He likes them, yes-ing him and barking like a seal and doing all the shit that he likes. He said, I didn't say this. He said, this referendum isn't on me. It isn't even about me. I wasn't on the ballot. Even though he promised he wanted everybody on the ballot. And this is the rhetoric that comes from him. And you gotta be looking at this saying, okay, I mean, this guy is in his own warped reality zone. I mean, one of the last things he said that was so crazy yet He told the Fox News people that the last two years have been the best ever in presidential history. You're laughing. You don't think the last two years have been the best ever in presidential history? It's been great. He's made the country great again. He followed through on the promises. He's made the country reject him. That's what he's done. Who does he blame now? He placed some blame on...

some of the Republican candidates. But I assume that they're all going to be in a room, and you've been in these rooms in politics. What does the conversation actually look like? And is he going to say, hey, you screwed up on this and this, and who's he going to be pointing his finger at? He's going to go candidate by candidate. And he's going to say, that's not MAGA. That's not MAGA. That one didn't listen. I had to throw that one out to get this other one. It will never be his fault. Is this in your view? Is this the end of MAGA? Is this sort of the final stage, or could we say a resurgence? It's sort of like what Churchill said. It's not the beginning of the end, but it could be the end of the beginning. I think we're going to go into another

stage. It's not clear to me that he doesn't field more MAGA candidates to see if he can dislodge some of these members of the House. But I think so. But when you count out Trump, he rises from the ashes.

Final question, any predictions on who the front runner will be in 2028 for the GOP? Such a great question. And I'm not equipped to tell you who it's going to be. I can tell you with confidence that it's not going to be JD Vance or Marco Rubio now. Couldn't have told you with confidence prior to the election. But I just think there's no way. Anthony Scaramage is the founder and managing partner of Skybridge Capital. He's authored seven books, including his most recent work, All the Wrong Moves, How Three Catastrophic Decisions Led to the Rise of Trump. He also hosts two podcasts, The Rest is Politics, US, and the Open Book podcast. Anthony, really appreciate your time. So great to be here. Thank you for bringing me on.

V is for victory. I'm not as objective as Ed Elson. I wanted to smash these people politically and I'm so happy that it happened. You're a happy man and we're happy for you. All right, God bless, man. This episode was produced by Claire Miller and Allison Weiss and engineered by Benjamin Spencer. Our video editor is Jorge Carti. Our research team is Dan Chalon, Kristen O'Donohue, and Mia Silverio. Jake McPherson is our social producer, Drew Burroughs is our technical director, and Catherine Dillon is our executive producer. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow and join us for a fresh take on markets on Monday.

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